

Executive Summary

"How has USI Insurance Services (Formerly Key) performed as our broker and helped us achieve our business goals?"



"During 01/01/2016 - 06/30/2018, SLogic's total costs have lowered by \$1,122,777."

The following presentation will demonstrate how we helped you accomplish this.

Thank You, SLogic!

You have entrusted us as stewards of your risk financing and risk control program, a responsibility we've taken very seriously over the course of our business relationship.

The following report measures our success in terms of reducing your overall costs, reclaiming financial leakage, and transforming it into investment capital for your many business goals.

Total Cost of Risk

To measure our performance, we've completed a **Total Cost of Risk (TCOR)** assessment.

TCOR is an organization's combined cost of Risk Financing, Loss Costs (direct & indirect) and Administrative Costs related to Risk Management.

By comparing your TCOR for a prior period of time against your current TCOR we're able to quantify the impact of our partnership on your organization's cost structure using the following metrics:

Comparison Periods	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Annual Sales	\$403,075,286	\$355,309,028

Rate Per \$1000 of Annual Sales

To accurately compare our results, we've translated them into a rate per \$1000 of your annual sales. This allows us to translate the results that are representative over two periods of time.

Results Snapshot

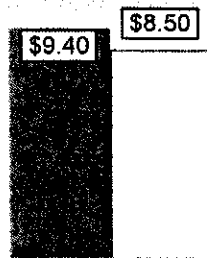
Area of Impact	How?	Results
		01/01/2016 - 06/30/2018
Risk Financing	By providing both comprehensive and cost effective Risk Financing and Risk Transfer solutions to our clients	Recaptured \$319,778 of Risk Financing Costs
Loss Costs	By mitigating and reducing the number and severity of incidents that lead to loss costs via our Risk Control capabilities.	Recaptured \$802,998 of Loss Costs
Administrative Costs	By implementing projects, programs, and resources needed to most effectively manage your risk management program.	Implemented \$0 worth of Projects & Resources
Total Cost of Risk	By impacting your Risk Financing, Loss Costs and Administrative Costs.	Recaptured \$1,122,777 from your TCOR for reinvestment opportunities

Results Summary

1. Risk Financing Impact

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$3,791,297	\$3,023,664
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$9.40	\$8.50

Risk Financing Rate Impact



■ 01/01/2013 - 01/01/2016
 □ 01/01/2016 - 06/30/2018

Difference in Rate Per 1k of Sales

(\$0.90)

Financial Leakage Reclaimed

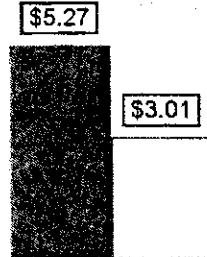
\$319,778

For a detailed breakdown of these results, please review **Appendix A: Risk Financing** in Part II of this report.

2. Loss Cost Impact

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$2,127,351	\$1,070,280
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$5.27	\$3.01

Lost Cost Rate Impact



■ 01/01/2013 - 01/01/2016
 □ 01/01/2016 - 06/30/2018

Difference in Rate Per 1k of Sales

(\$2.26)

Financial Leakage Reclaimed

\$802,998

For a detailed breakdown of these results, please review **Appendix B: Loss Costs** in Part II of this report.

Results Summary (Cont.)

3. Administrative Cost Impact

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$0	\$0
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$0.00	\$0.00

Service Valuation

\$0.00 \$0.00

■ 01/01/2013 - 01/01/2016
□ 01/01/2016 - 06/30/2018

Difference in Rate Per 1k of Sales

\$0.00

Financial Gain

\$0

For a detailed breakdown of these results, please review **Appendix C: Administrative Costs** in Part II of this report.

4. Total Cost of Risk Impact

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$5,918,648	\$4,093,943
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$14.67	\$11.51

Total Cost of Risk Rate Impact

\$14.67 \$11.51

■ 01/01/2013 - 01/01/2016
□ 01/01/2016 - 06/30/2018

Difference in Rate Per 1k of Sales

(\$3.16)

Total Value Proposition

\$1,122,777

Total Impact on TCOR

-21.55%

For a detailed breakdown of these results, please review **Appendix D: Total Cost of Risk** in Part II of this report.

Business Performance Impact

Whether it's growth, profitability, improved ownership equity, or any number of business goals, our mission is to deliver quantifiable and measurable advantages to our clients in the ways that directly impact their operations.

Here is how our partnership impacted your key performance indicators during **01/01/2016 - 06/30/2018**:

Hazard Risk (Security)		
Risk Financing Rate	The % change (+/-) of your risk management costs.	Your Risk Financing rate changed by -9.58%
Financial Impact (Profitability)		
Acquisition Capital	By impacting your total cost of risk, we have increased your acquisition capital.	Increased your acquisition capital by \$1,122,776
Financial Impact (Profitability)		
EBITDA Impact	By increasing your net profits, we impacted your current EBITDA goal of 12.00%.	Provided 5.27% of your current EBITDA goal.
Financial Impact (Profitability)		
Improved Profits	By impacting your total cost of risk, we have increased your net profits.	Improved your profits by \$1,122,776
Financial Impact (Profitability)		
Ownership Equity (Private)	By using a valuation multiple of 9.00 against your net profits, we have impacted your ownership valuation.	Impacted your ownership equity by \$10,104,988.

Cash Flow Management Options

Here are some examples of how you can utilize our value proposition **\$1,122,777** to meet one or more of your current business objectives:

Strategic Impact (Competition)		
(Growth) Increased Sales	At your current profit margin of 12.00%, to attain the profits of \$1,122,776 you would need to develop a determined amount of new sales.	Provided the equivalent of \$9,356,471 in additional sales at your current profit margin.

Looking Ahead

Our work isn't finished yet. We understand the importance of building our value proposition with you now (and in the future). Looking ahead, here are some of the projects we have selected to initiate:

Description:	Impact On Costs:	Timeline:
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Summary of Impacts

Business Results Impact

During 01/01/2016 - 06/30/2018, our partnership has impacted your business results in the following ways:

- Recaptured \$319,778 of your Risk Financing Costs.
- Recaptured \$802,998 of your Loss Costs.
- Implemented a package of resources and client services valued at \$0.
- Recaptured a total of \$1,122,777 for reinvestment opportunities.

Business Performance Impact

Futhermore, with \$1,122,777 available for reinvestment, our partnership with your organization has provided the following impact on your key performance indicators:

- Improved your profits by \$1,122,776
- Increased your acquisition capital by \$1,122,776
- Provided 5.27% of your current EBITDA goal.
- Impacted your ownership equity by \$10,104,988.
- Your Risk Financing rate changed by -9.58%
- Provided the equivalent of \$9,356,471 in additional sales at your current profit margin.

Delivering More Than Insurance

As demonstrated, our firm is uniquely qualified to deliver more than insurance by helping your business achieve its many financial goals. We would like to continue our strong track record of delivering results to SLogic.

It is our goal to further strengthen your business model by reducing the costs that block your ability to achieve your important business goals at the highest possible level.

Thank you for you continued partnership.

USI Insurance Services (Formerly Key)

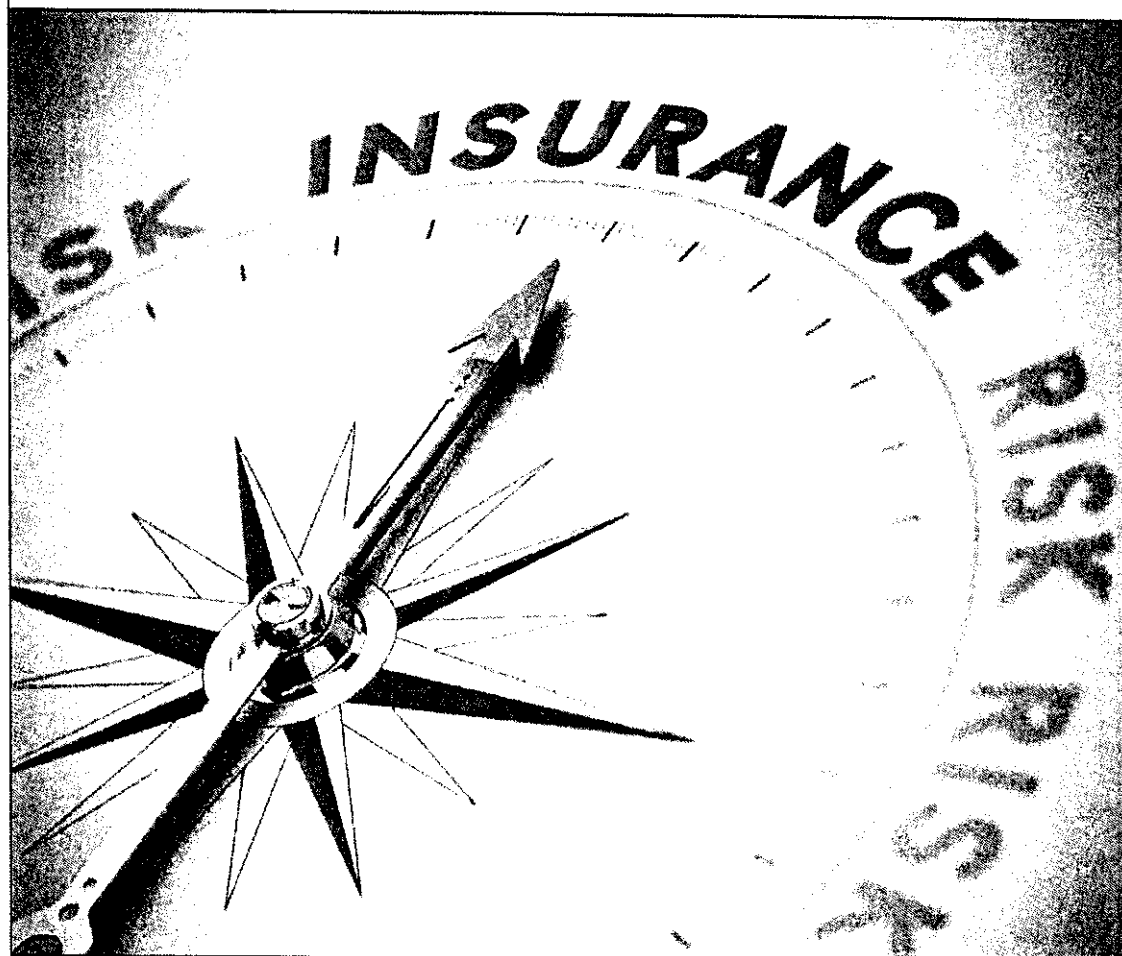
The following appendices outline your TCOR impact results in detail.

Value Report™ Appendices



- A. Risk Financing**
- B. Loss Costs**
- C. Administrative Costs**
- D. Total Cost of Risk**

Appendix A: Risk Financing



1. Overview
2. Risk Financing Impact Summary

1. Overview

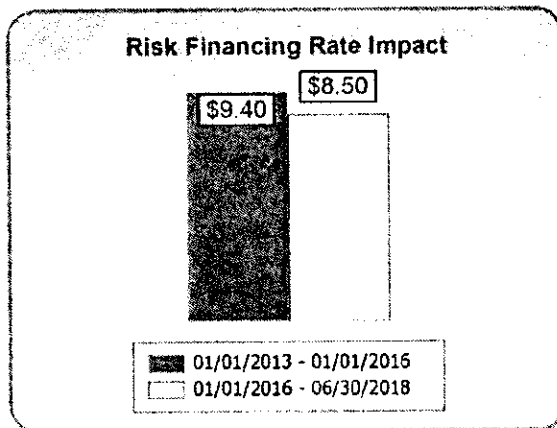
What is Risk Financing?

Risk Financing is the cost of your insurance program (paid premiums and fees). The price of your premium is dependent on your effective policy types and claims experience.

	Examples:
Risk Financing	- Premium - Captive Funding - Dividends - Retroactive Adjustments
Taxes & Fees (Included in Risk Financing)	- Regulatory - State-based - Filing Fees

2. Risk Financing Results Summary

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$3,791,297	\$3,023,664
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$9.40	\$8.50



Difference in Rate Per 1k of Sales
(\$0.90)
Financial Leakage Reclaimed
\$319,778

Appendix B: Loss Costs



1. Overview
2. Net Loss Total
3. Indirect Loss Total
4. Loss Cost Total
5. Loss Cost Impact Summary

1. Overview

What are Loss Costs?

Losses play a crucial role in affecting your Total Cost of Risk. Our goal is to lessen and remove their toxic impacts. To understand how these costs may negatively impact your business, we must first understand the different types of losses and how to quantify their financial toll.

3 Categories of Loss Costs



Insured Losses

- Paid by Insurance Carrier
- Part of Risk Financing Cost (Premiums)



Retained Losses

- 'Out of Pocket' Expenses
- Includes Deductibles & Self-Insured Losses



Indirect Losses

- 'Hidden' or 'Unfunded' Claims Expense
- Significant Financial Burden

Examples of Loss Costs

Type	Examples	Paid by
Insured Losses	• Cost of Claims	Insurance Carrier
Retained Losses	• Paid Deductibles • Self-Insured Costs • Uninsured Expenses • ALAE Expenses	You
Indirect Loss Costs	• Lost Productivity • Brand Reputation • Turnover Expenses • Asset Replacement • Unfunded Legal Fees	You

2. Net Loss Costs

To determine your true loss cost amount, we have compiled the following tables. Each one demonstrates how we quantify your total loss costs.

Net Loss Costs

The first table shows the summation of your losses (insured and retained) over two periods of time. The **Net Loss Total** will be utilized to calculate your indirect loss costs.

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Insured Losses	\$2,283,606	\$850,147
Retained Losses	\$0	\$0
Misc. Losses	\$0	\$0
Shock Loss Removal*	(\$646,989)	\$0
Total	\$1,636,617	\$850,147

3. Indirect Loss Total

Indirect Loss Total

Indirect Loss Costs are quantified by taking your **Net Loss Total** and then multiplying it by an Indirect Loss Cost Factor (ILCF.) These factors are selected from your feedback, our existing client data, and by utilizing North American industry benchmarks from TCORCalc®.

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Net Loss Total	\$1,636,617	\$850,147
Indirect Loss Cost w/o Shock Loss Adjustment	\$1,927,351	\$1,070,280
Indirect Cost of Shock Loss*	\$200,000	\$0
Indirect Loss Total	\$2,127,351	\$1,070,280

Indirect Loss Cost Factors		
Here are the Indirect Loss Cost Factors (ILCF's) selected for this analysis (as of July 2018):		
	Benchmark Used:	Value:
All Other Coverages	ILC Factor	\$0.50
General Liability	ILC Factor	\$1.02
Automobile	ILC Factor	\$1.03
Workers' Compensation	ILC Factor	\$1.23
Indirect Loss Cost Factors Provided By:		
	 TCORCalc Broker Performance Analytics™	
www.tcorcalc.com		

4. Loss Cost Total

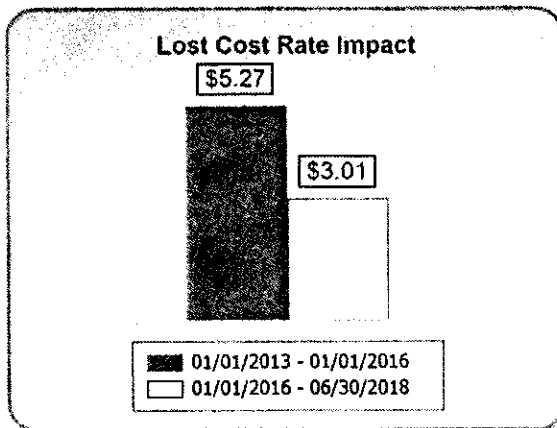
Loss Cost Total (Retained & Indirect)

The final table represents the total losses that directly impact your organization. They are the retained losses (your out of pocket expenses) and indirect losses (unfunded claims' cost).

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Retained Loss Total	\$0	\$0
Indirect Loss Total	\$2,127,351	\$1,070,280
Loss Cost Total	\$2,127,351	\$1,070,280

5. Loss Cost Impact Summary

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$2,127,351	\$1,070,280
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$5.27	\$3.01



Difference in Rate Per 1k of Sales
(\$2.26)
Financial Leakage Reclaimed
\$802,998

Appendix C: Administrative Costs



1. Overview
2. Administrative Cost Impact Summary
3. Completed Project Log

1. Overview

Administrative Costs are associated with the projects and services required to properly manage your program and lower the frequency, cost, and severity of suffered losses. Through our recommendations, program implementation, and resource application we impacted your TCOR by providing these services to you as part of our business relationship.

Administrative Cost Examples

	Examples
Administrative Costs (Provided & Fee-based)	• Project Implementation • Claims Management ◦ Reporting ◦ Audit ◦ Review • Contract Services ◦ Review ◦ Support • Industry-Specific Resources • Specialty Resources ◦ Third Party Services • Recommendations • Consultation - On-site • Certificate Management - Tracking ◦ Issuance

2. Administrative Cost Impact Summary

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$0	\$0
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$0.00	\$0.00

Service Valuation

\$0.00 \$0.00

☒ 01/01/2013 - 01/01/2016
☐ 01/01/2016 - 06/30/2018

Difference in Rate Per 1k of Sales

\$0.00

Financial Gain

\$0

2. Completed Project Log

Date:	Coverage:	Project:	Impact:	Value:
			Total Service Valuation:	

Appendix D: Total Cost of Risk



1. Overview
2. Total Cost of Risk Impact

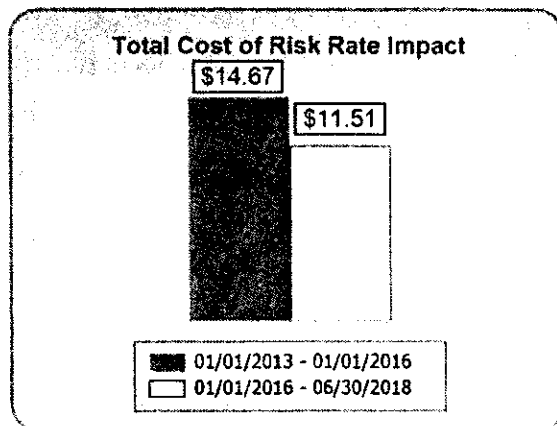
1. Overview

The cost structure of your program is made up of three important components (shown below). Combined, they make up your **Total Cost of Risk (TCOR)**.

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Risk Financing	\$3,791,297	\$3,023,664
Loss Costs	\$2,127,351	\$1,070,280
Administrative Costs	\$0	\$0
TCOR Total	\$5,918,648	\$4,093,943

2. TCOR Impact Summary

	01/01/2013 - 01/01/2016	01/01/2016 - 06/30/2018
Total	\$5,918,648	\$4,093,943
Annual Sales	\$403,075,286	\$355,309,028
Rate Per 1K	\$14.67	\$11.51



Difference in Rate Per 1k of Sales
(\$3.16)
Total Value Proposition
\$1,122,777
Total Impact on TCOR
-21.55%